7 Journalising, Posting and Balancing

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Meaning of an Account
- Traditional Classification of Accounts
- Accounting Equation Based Classification of Accounts
- Comparision of Traditional Classification and Accounting Equation Based Classification of Accounts
- Meaning and Rules of Debit and Credit
- Meaning and Format of Journal
- Ledger – Meaning, Form, Utility, Format of a Legder Account
- Posting – Meaning, Necessity, Procedure
- Compound Entry
- Meaning, Recording and Posting of Opening Entry
- Balancing of Accounts – Meaning, Significance, Procedure

1.0 MEANING OF AN ACCOUNT

An Account is a summary of relevant transactions at one place relating to a particular head. It records not only the amount of transaction but also their effect and direction.

2.0 TRADITIONAL CLASSIFICATION OF ACCOUNTS

The classification of accounts according to the Traditional Approach is given below:

Classification of Accounts according to Traditional Approach

Types of Accounts	*Meaning*	*Examples*
(a) **Personal Accounts**	These accounts relate to natural persons, artificial persons and representative persons.	**Natural–**Ram's A/c **Artificial–**Ram & Co.'s etc **Representative–**Outstanding Salary A/c, Prepaid Insurance
(b) **Real Accounts**	These accounts relate to the tangible or intangible real assets.	**Tangible–**Land A/c **Intangible–**Goodwill A/c
(c) **Nominal Accounts**	These accounts relate to losses, profit & gains.	**Expenses–**Purchases A/c **Loss–**Loss by fire A/c **Profits & Gains–**Sales A/c, Discount Received A/c

3.0 ACCOUNTING EQUATION BASED CLASSIFICATION OF ACCOUNTS

The classification of accounts according to Accounting Equation Approach is given below:

Classification of Accounts according to Accounting Equation Approach

Types of Accounts	*Meaning*	*Examples*
(a) **Assets Accounts**	These accounts relate to Tangible *or* Intangible real assets.	Land A/c, Building A/c, Cash A/c, Goodwill, Patents.
(b) **Liabilities Accounts**	These accounts relate to the financial obligations of an enterprise towards outsiders.	Trade Creditors, Bank overdraft, Short-term loans, Long-term loans.
(c) **Capital Accounts**	These accounts relate to owners of an enterprise.	Capital A/c, Drawings A/c.
(d) **Revenue Accounts**	These accounts relate of the amount charged for goods sold *or* services rendered *or* permitting others to use enterprise's resources yielding Interest, Royalty *or* Dividend.	Sales A/c, Discount Received A/c, Dividend Received A/c, Royalty Received A/c, Interest Received A/c.
(e) **Expenses Accounts**	These accounts relate to the amount incurred *or* lost in the process of earning revenue.	Purchases A/c, Discount Allowed A/c, Salaries A/c, Interest Allowed A/c, Loss by Fire A/c.

4.0 COMPARISON OF TRADITIONAL CLASSIFICATION AND ACCOUNTING EQUATION BASED CLASSIFICATION OF ACCOUNTS

Traditional Classification of Accounts	Accounting Equation Based Classification of Accounts
1. Personal Accounts having debit balances (other than those relating to Owner)	Assets Accounts
2. Personal Accounts having credit balances (other than those relating to Owner)	Liabilities Accounts
3. Personal Account relating to Owner	Capital Account
4. Real Accounts	Assets Account
5. Nominal Accounts relating to Revenue	Revenue Account
6. Nominal Accounts relating to Expenses	Expenses Account

EXAMPLE 1

Classify the following Accounts:

1. Capital brought in
2. Drawings A/c
3. Building Purchased
4. Purchases A/c
5. Sales A/c
6. Carriage inward paid
7. Carriage outward paid
8. Cash received
9. Cash paid
10. Interest paid
11. Interest received
12. Commission paid
13. Commission received
14. Discount allowed
15. Conveyance charges
16. Sales promotion expenses
17. Entertainment expenses
18. Subscription paid
19. Subscription received
20. Light, Power and Electricity
21. Telephone, Postage and Telegram
22. Repairs incurred
23. Insurance premium paid
24. Bad Debts written off
25. Bad Debts recovered
26. Discount received
27. Printing and Stationery bought
28. Furniture and fixtures purchased
29. Bank A/c
30. Wages and Salaries paid
31. Travelling charges
32. Current A/c of a partner
33. Loan Account of a partner
34. Sales Returns
35. Bank Overdraft
36. Purchases Returns A/c
37. Outstanding Salary A/c
38. Prepaid Rent A/c
39. Interest accrued A/c
40. Interest received in advance A/c

SOLUTION

(a) According to Traditional Approach

(i) Personal Accounts – 1, 2, 29, 32, 33, 35, 37, 38, 39, and 40

(ii) Real Accounts – 3, 8, 9, 27, 28

(iii) Nominal Accounts – 4, 5, 6, 7, 10 to 26, 30, 31, 34, 36

(b) According to Accounting Equation Approach or Modern Approach

(i) Assets Accounts – 3, 8, 9, 27, 28, 29, 38, 39
(ii) Liabilities Accounts – 33, 35, 37, 40
(iii) Capital Accounts – 1, 2, 32
(iv) Revenue Accounts – 5, 11, 13, 19, 25, 26, 34
(v) Expenses Accounts – 4, 6, 7, 10, 12, 14 to 18, 20 to 24, 30, 31, 36

5.0 MEANING AND RULES OF DEBIT AND CREDIT

1. Basically debit means to enter an amount of transaction on the left side of an account and credit means to enter an amount of transaction on the right side on an account.
2. In Accounting the abbreviated form Dr. stands for debit and Cr. stands for credit.
3. Both debit and credit may represent either increase or decrease depending upon the nature of an account.
4. Debit in relation to Assets Accounts and Expenses Accounts represents an increase but in relation to Liabilities Accounts, Capital Accounts and Revenue Accounts represents a decrease.
5. Credit in relation to Assets Accounts and Expenses Accounts represents a decrease but in relation to Liabilities Accounts, Capital Accounts and Revenue Accounts represents an increase.
6. The Rules for Debit and Credit are given below:

Rules for Debit and Credit when the Accounts are classified as Personal, Real and Nominal

Types of Accounts	*Rules for Debit*	*Rules for Credit*
(a) **For Personal Accounts**	Debit the Receiver	Credit the Giver
(b) **For Real Accounts**	Debit What Comes in	Credit What Goes out
(c) **For Nominal Accounts**	Debit All Expenses and Losses	Credit all Gains and Profits

Rules for Debit and Credit when the Accounts are classified on Accounting Equation Basis

Types of Accounts	*Rules for Debit*	*Rules for Credit*
(a) **For Assets Accounts**	Debit the Increase	Credit the Decrease
(b) **For Liabilities Accounts**	Debit the Decrease	Credit the Increase
(c) **For Capital Accounts**	Debit the Decrease	Credit the Increase
(d) **For Revenue Accounts**	Debit the Decrease	Credit the Increase
(e) **For Expenses Accounts**	Debit the Increase	Credit the Decrease

EXAMPLE 2

Which rule of Debit and Credit is applicable for each of the accounts referred to in Example 1?

SOLUTION

Rules of Debit and Credit according to Traditional Classification

— Rule No. 1	Debit the receiver and credit the giver for 1, 2, 29, 32, 33, 35, 37, 38, 39 and 40.
— Rule No. 2	Debit what comes in and credit what goes out for 3, 8,9, 27, 28.
— Rule No. 3	Debit all expenses and losses and credit all gains and profits for 4, 5, 6, 7, 10 to 26, 30, 31, 34 and 36.

Rules of Debit and Credit according to Modern Classification

(a) **For Assets Accounts**	Debit the Increase and credit the Decrease for 3, 8, 9, 27, 28, 29, 38, 39.
(b) **For Liabilities Accounts**	Debit the decrease and credit the increase for 33, 35, 37, 40.
(c) **For Capital Accounts**	Debit the decrease and credit the increase for 1, 2, 32.
(d) **For Revenue Accounts**	Debit the decrease and credit the increase for 5, 11, 13, 19, 25, 26, 34.
(e) **For Expenses Accounts**	Debit the increase and credit the decrease for 4, 6, 7, 10, 12, 14 to 18, 20 to 24, 30, 31, 36.

6.0 MEANING AND FORMAT OF JOURNAL

Meaning of Journal, Jornalising and Journal Entry

Journal	A Journal is a book in which transactions are recorded in the order in which they occur i.e., in chronological order. A Journal is called a book of prime entry (also called of original entry) because all business transactions are entered first in this book.
Journalising	The process of recording a transaction in a journal is called **Journalising**.
Journal Entry	An entry made in the journal is called a **Journal Entry.**

Format of a Journal

JOURNAL

Date	*Particulars*	*L.F.*	*Debit Amount (₹)*	*Credit Amount (₹)*

Date Column	Under this column, the date on which the transaction is entered is recorded. The year and month is written once, till they change.
Particulars Column	Under this column, first the names of the accounts to be debited, then the names of the accounts to be credited and lastly the narration (i.e., a brief explanation of the transaction) are entered.
L.F., Ledger Folio Column	Under this column, the ledger page number to containing the relevant account is entered at the time of posting.
Debit Amount Column	Under this column, the amount to be debited is entered.
Credit Amount Column	Under this column, the amount to be credited is entered.

Note: *Except the L.F. column, all other columns are recorded at the time of journalising. The L.F. column is recorded at the time of posting.*

Meaning of Journalising

The process of recording a transaction in the journal is called journalising. The various steps to be followed in journalising business transactions are given below:

Steps in Journalising

Step 1 → *Ascertain What accounts are involved in a transaction.*

Step 2 → *Ascertain What is the nature of the accounts involved.*

Step 3 → *Ascertain Which Rule of debit and credit is applicable for each of the accounts involved.*

Step 4 → *Ascertain Which Account is to be debited and which is to be credited.*

Step 5 → *Record the date of transaction in the 'Date column'.*

Step 6 → *Write the Name of the Account to be debited very close to the left hand side (i.e., the line demarcating the 'Date column' and the 'Particulars column') alongwith the abbreviation 'Dr.' on the same line against the name of the account in the 'Particulars column' and the amount to be debited in the 'Debit Amount column' against the name of the account.*

Step 7 →	*Write the name of the account to be credited in the next line preceded by the word 'To' at a few spaces towards right in the 'Particulars column' and the amount to be credited in the 'Credit Amount column' against the name of the account.*
Step 8 →	*Write 'Narration' (i.e., a brief description of the transaction) within brackets in the next line in the 'Particulars column'.*
Step 9 →	*Draw a line across the entire 'Particulars column' to separate one Journal Entry from the other.*

Note: *The 'Ledger Folio column' is filled in at the time of posting into the ledger and not at the time of journalising.*

EXAMPLE 3

Analyse the following transactions according to the Traditional Approach:

(a) Ganesh started his business with cash.
(b) Borrowed from Mahesh.
(c) Purchased furniture.
(d) Purchased furniture from Mohan on credit.
(e) Purchased goods for cash.
(f) Purchased goods from Ram on credit.
(g) Sold goods for cash.
(h) Sold goods to Shyam on credit.
(i) Received cash from Shyam.
(j) Paid cash to Ram.
(k) Deposited into bank.
(l) Withdrew cash for personal use.
(m) Withdrew from bank for office use.
(n) Withdrew from bank for personal use.
(o) Received a crossed cheque from a customer, Shyam at 3 p.m.
(p) Deposited Shyam's cheque next day.
(q) Bank intimated that Shyam's cheque was dishonoured.
(r) Paid Ram by cheque.
(s) Paid salary.
(t) Paid rent by cheque.
(u) Goods withdrawn for personal use.
(v) Paid an advance to suppliers of goods.
(w) Received an advance from customers.
(x) Paid interest on loan.
(y) Paid instalment of loan.
(z) Interest allowed by bank.

SOLUTION

ANALYSIS OF TRANSACTIONS AS PER TRADITIONAL APPROACH

Transaction	*What are the Accounts involved?*	*What is the nature of accounts involved?*	*How affected*	*Whether to be Debited or Credited*
(a)	Cash A/c	Real	Cash is coming in.	Debit
	Capital A/c	Personal	Ganesh is the giver.	Credit
(b)	Cash A/c	Real	Cash is coming in.	Debit
	Loan from Mahesh A/c	Personal	Mahesh is the giver.	Credit
(c)	Furniture A/c	Real	Furniture is coming in.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(d)	Furniture A/c	Real	Furniture is coming in.	Debit
	Mohan's A/c	Personal	Mohan is the giver.	Credit
(e)	Purchases A/c	Nominal	Purchase is an expense.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(f)	Purchases A/c	Nominal	Purchase is an expense.	Debit
	Ram's A/c	Personal	Ram is the giver.	Credit
(g)	Cash A/c	Real	Cash is coming in.	Debit
	Sales A/c	Nominal	Sales is a revenue.	Credit
(h)	Shyam's A/c	Personal	Shyam is the receiver.	Debit
	Sales A/c	Nominal	Sales is a revenue.	Credit
(i)	Cash A/c	Real	Cash is coming in.	Debit
	Shyam's A/c	Personal	Shyam is the giver.	Credit
(j)	Ram's A/c	Personal	Ram is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(k)	Bank A/c	Personal	Bank is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(l)	Drawings A/c	Personal	Ganesh is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(m)	Cash A/c	Real	Cash is coming in.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(n)	Drawings A/c	Personal	Ganesh is the receiver.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(o)	Cheques on hands A/c	Real	Cheque is coming in.	Debit
	Shyam's A/c	Personal	Shyam is the giver.	Credit
(p)	Bank A/c	Personal	Bank is the receiver.	Debit
	Cheques on hands A/c	Real	Cheque is going out.	Credit
(q)	Shyam's A/c	Personal	Shyam is the receiver.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(r)	Ram's A/c	Personal	Ram is the receiver.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(s)	Salary A/c	Nominal	Salary is an expense.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(t)	Rent A/c	Nominal	Rent is an expense.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(u)	Drawings A/c	Personal	Ganesh is the receiver.	Debit
	Purchases A/c	Nominal	It is a decrease in expense.	Credit
(v)	Adv. to Suppliers A/c	Personal	Suppliers are the receivers.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(w)	Cash A/c	Real	Cash is coming in.	Debit
	Adv. from Customers A/c	Personal	Customers are the givers.	Credit

(x)	Interest on Loan A/c	Nominal	Interest on loan is an expense.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(y)	Loan A/c	Personal	Lender is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(z)	Bank A/c	Personal	Bank is the receiver.	Debit
	Bank Interest A/c	Nominal	Bank Interest is a gain.	Credit

EXAMPLE 4

Analyse the transactions given in Example 3 according to the Accounting Equation Approach.

SOLUTION

ANALYSIS OF TRANSACTIONS AS PER ACCOUNTING EQUATION APPROACH

Transaction	*What are the Accounts involved?*	*What is the nature of accounts involved?*	*How affected*	*Whether to be Debited or Credited*
(a)	Cash A/c	Asset	Increased	Debit
	Capital A/c	Capital	Increased	Credit
(b)	Cash A/c	Asset	Increased	Debit
	Loan from Mahesh A/c	Liability	Increased	Credit
(c)	Furniture A/c	Asset	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(d)	Furniture A/c	Asset	Increased	Debit
	Mohan's A/c	Liability	Increased	Credit
(e)	Purchases A/c	Expense	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(f)	Purchases A/c	Expense	Increased	Debit
	Ram's A/c	Liability	Increased	Credit
(g)	Cash A/c	Asset	Increased	Debit
	Sales A/c	Revenue	Increased	Credit
(h)	Shyam's A/c	Asset	Increased	Debit
	Sales A/c	Revenue	Increased	Credit
(i)	Cash A/c	Asset	Increased	Debit
	Shyam's A/c	Asset	Decreased	Credit
(j)	Ram's A/c	Liability	Decreased	Debit
	Cash A/c	Asset	Decreased	Credit
(k)	Bank A/c	Asset	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(l)	Drawings A/c	Capital	Decreased	Debit
	Cash A/c	Asset	Decreased	Credit
(m)	Cash A/c	Asset	Increased	Debit
	Bank A/c	Asset	Decreased	Credit
(n)	Drawings A/c	Capital	Decreased	Debit
	Bank A/c	Asset	Decreased	Credit
(o)	Cheques on hand A/c	Asset	Increased	Debit
	Shyam's A/c	Asset	Decreased	Credit
(p)	Bank A/c	Asset	Increased	Debit
	Cheques on hand A/c	Asset	Decreased	Credit
(q)	Shyam's A/c	Asset	Increased	Debit
	Bank A/c	Asset	Decreased	Credit
(r)	Ram's A/c	Liability	Decreased	Debit
	Bank A/c	Asset	Decreased	Credit

(s)	Salary A/c	Expense	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(t)	Rent A/c	Expense	Increased	Debit
	Bank A/c	Asset	Decreased	Credit
(u)	Drawings A/c	Capital	Decreased	Debit
	Purchases A/c	Expense	Decreased	Credit
(v)	Advance to Suppliers A/c	Asset	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(w)	Cash A/c	Asset	Increased	Debit
	Adv. from Customers A/c	Liability	Increased	Credit
(x)	Interest on Loan A/c	Expense	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(y)	Loan A/c	Liability	Decreased	Debit
	Cash A/c	Asset	Decreased	Credit
(z)	Bank A/c	Asset	Increased	Debit
	Bank Interest A/c	Revenue	Increased	Credit

Advantages of Journal

1. **Chronological Record**	Journal is a chronological record in the sense that it records the transactions in the order in which they occur.
2. **Explanation of Transaction**	Each journal entry in the journal carries narration which gives a brief explanation of the transaction.
3. **Recording of both aspects**	Both the aspects (i.e., debit and credit) of a transaction are recorded in the journal. Since the amounts recorded in both debit amount column and credit amount column must be equal, the possibility of committing error is reduced and the detection of errors, if any, committed becomes easy.

Limitations of Journal

When the number of transactions is large, it is practically impossible to record all the transactions through one journal because of the following reasons:

1. **Time and Cost Consuming**	The system of recording all the transactions in a journal requires (i) the writing down of the name of the account involved as many times as the transactions occur; and (ii) an individual posting of each account debited and credited and hence involves the repetitive journalising and posting labour.
2. **Delay**	Such a system does not provide the information on prompt basis.
3. **No Internal Check**	Such a system does not facilitate the installation of an internal check system since the journal can be handled by only one person.
4. **Bulky and Voluminous**	The journal becomes bulky and voluminous.

7.0 TRADE DISCOUNT

It is a reduction granted by a supplier from the List Price of goods or services on business considerations (such as quantity bought, trade practices, etc.,) other than for prompt payment.

Example — If 10 Gold Rings are sold at the list price of ₹ 50,000 each subject to trade discount of 10%. In this case trade discount will be calculated as given on below:

10 Gold Rings @ ₹ 50,000	₹ 5,00,000
Less: Trade Discount @ 10%	₹ 50,000
Amount Payable as per Invoice	₹ 4,50,000

8.0 CASH DISCOUNT

A reduction granted by a supplier from the Invoice Price in consideration of immediate payment *or* payment within a stipulated period.

Example — If in the above example, terms of payable are 2%, 30 Days, it means buyer will get 2% cash discount if he makes payment within 30 days. In case the purchaser makes the payment within 30 days, the cash discount will be calculated as under:

Amount Payable as per Invoice	₹ 4,50,000
Cash Discount @ 2%	₹ 9,000
Cash paid within 30 days	₹ 4,41,000

9.0 DISTINCTION BETWEEN TRADE DISCOUNT AND CASH DISCOUNT

Trade Discount differs from Cash Discount in the following respects:

Basis of Distinction	Trade Discount	Cash Discount
1. **Meaning**	It is a reduction granted by a supplier from the list price of goods or services on business considerations (such as quantity bought, trade practices, etc.) other than for prompt payment.	A reduction granted by a supplier from the invoice price in consideration of immediate payment or payment within a stipulated period.
2. **Purpose**	It is allowed **to promote the sales or as a trade practice.**	It is allowed to **encourage the prompt payment.**
3. **Time when allowed**	It is allowed **on purchase** of goods.	It is allowed **on immediate payment** or payment within a specified period.
4. **Disclosure in the Invoice**	It is shown **by way of deduction in the invoice itself.**	It is **not shown in the invoice.**
5. **Ledger Account**	Trade Discount Account is not opened in the ledger.	Cash Discount Account is opened in the ledger.
6. **Variation**	It may vary with the quantity purchased.	It may vary with the period within which the payment is made.

ILLUSTRATION 1

Journalise the following transactions in the books of Shri Ganesh.

2013		₹
April 1	Shri Ganesh started his business with Cash	50,000
2	Purchased goods	5,000
3	Purchased goods for Cash	10,000
4	Purchased goods from Mr Sun for Cash	15,000
5	Sold goods	6,000
6	Sold goods for Cash	12,000
8	Sold goods to Mr Sky for Cash	18,000
9	Purchased goods from Mr Moon	10,000
10	Purchased goods from Mr Star on Credit	20,000
11	Sold goods to Mr Sea	12,500
12	Sold goods to Mr Ocean on Credit	25,000
13	Mr Sea returned goods	2,500
15	Returned goods to Mr Moon	2,000
16	Received from Mr Sea	9,900
	Allowed him discount	100
17	Paid Mr Moon	7,880
	Discount allowed by him	120
29	Withdrew for personal use	1,000
30	Withdrew goods for private use (Cost ₹ 500, Selling Price ₹ 600)	
31	Paid Salary to Mr Sevakram, an employee	500
31	Paid Rent to Mr Estate, landlord	500

SOLUTION

JOURNAL OF SHRI GANESH

Date	*Particulars*	*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013 April 1	Cash A/c Dr. To Capital A/c (Being the capital brought in by Shri Ganesh)		50,000	50,000
2	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		5,000	5,000
3	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		10,000	10,000
4	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		15,000	15,000
5	Cash A/c Dr. To Sales A/c (Being the goods sold for cash)		6,000	6,000
6	Cash A/c Dr. To Sales A/c (Being the goods sold for cash)		12,000	12,000

8	Cash A/c	Dr.		18,000	
	To Sales A/c				18,000
	(Being the goods sold for cash)				
9	Purchases A/c	Dr.		10,000	
	To Mr Moon				10,000
	(Being the goods purchased on credit from Mr Moon)				
10	Purchases A/c	Dr.		20,000	
	To Mr Star A/c				20,000
	(Being the goods purchased on credit from Mr Star)				
11	Mr Sea A/c	Dr.		12,500	
	To Sales A/c				12,500
	(Being goods sold on credit to Mr Sea)				
12	Mr Ocean A/c	Dr.		25,000	
	To Sales A/c				25,000
	(Being goods sold on credit to Mr Ocean)				
13	Sales Returns A/c	Dr.		2,500	
	To Mr Sea A/c				2,500
	(Being the goods returned by Mr Sea)				
15	Mr Moon A/c	Dr.		2,000	
	To Purchase Returns A/c				2,000
	(Being the goods returned to Mr Moon)				
16	Cash A/c	Dr.		9,900	
	Discount Allowed A/c	Dr.		100	
	To Mr Sea				10,000
	(Being Cash received from Mr Sea & allowed him discount ₹ 100)				
17	Mr Moon	Dr.		8,000	
	To Cash A/c				7,880
	To Discount Received A/c				120
	(Being Cash paid to Mr Moon & received discount of ₹ 120)				
29	Drawings A/c	Dr.		1,000	
	To Cash A/c				1,000
	(Being the cash withdrawn for personal use)				
30	Drawings A/c	Dr.		500	
	To Purchases A/c				500
	(Being the goods costing ₹ 500 withdrawn for personal use)				
31	Salary A/c	Dr.		500	
	To Cash A/c				500
	(Being the salary paid to Sevakram)				
31	Rent A/c	Dr.		500	
	To Cash A/c				500
	(Being rent paid to landlord)				
		Total		2,08,500	2,08,500

ILLUSTRATION 2

Journalise the following Transactions of Ramesh:

2013		₹
April 1	Ramesh started business with cash	10,000
2	Paid into Bank	7,000
3	Bought goods for cash	500
4	Drew Cash from bank for office	100
13	Sold goods to Krishna on credit	150
20	Bought goods from shyam on credit	225
24	Received from Krishna	145
	Allowed him discount	5
28	Paid Shyam Cash	215
	Discount allowed	10
30	Cash Sales for the month	800
	Paid Rent	50
	Paid salary	100

SOLUTION

JOURNAL OF RAMESH

Date	*Particulars*	*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013 April 1	Cash A/c Dr. To Capital A/c (Being the amount invested by Ramesh in the business as capital)		10,000	10,000
2	Bank A/c Dr. To Cash A/c (Being the amount paid into bank)		7,000	7,000
3	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		500	500
4	Cash A/c Dr. To Bank A/c (Being the cash withdrawn from bank)		100	100
13	Krishna Dr. To Sales A/c (Being the goods sold to Krishna on credit)		150	150
20	Purchases A/c Dr. To Shyam (Being the goods bought from Shyam on credit)		225	225
24	Cash A/c Dr. Discount Allowed A/c Dr. To Krishna (Being the cash received from Krishna and allowed him discount)		145 5	150

28	Shyam	Dr.		225	
	To Cash A/c				215
	To Discount Received A/c				10
	(Being the cash paid to Shyam and Discount received)				
30	Cash A/c	Dr.		800	
	To Sales A/c				800
	(Being the goods sold for cash)				
30	Rent A/c	Dr.		50	
	Salaries A/c	Dr.		100	
	To Cash A/c				150
	(Being the amount paid for rent and salary)				
		Total		19,300	19,300

ILLUSTRATION 3

Record the following transactions in the journal of the Delhi Furniture Marts:

2013	
Jan 1	Started business with cash ₹ 10,000.
2	Deposited into bank ₹ 9,000.
3	Purchased machinery for ₹ 5,000 from Jawahar and gave him a cheque for amount.
15	Paid installation charges of machinery ₹ 100.
20	Purchased timber from Naveen of the list price of ₹ 2,000. He allowed 10% Trade Discount.
23	Furniture costing ₹ 500 was used in furnishing the office.
25	Sold furniture to Naresh of the list price of ₹ 1,000 and allowed him 5% Trade Discount.
28	Received a crossed cheque from Naresh for ₹ 930 in full settlement and sent the cheque to bank.
29	Sent to Naveen in full settlement a cheque for ₹ 1,750.
31	Paid wages ₹ 350 and rent ₹ 200.

SOLUTION

JOURNAL OF THE DELHI FURNITURE MARTS

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013					
Jan.1	Cash A/c	Dr.		10,000	
	To Capital A/c				10,000
	(Being the business started with cash)				
2	Bank A/c	Dr.		9,000	
	To Cash A/c				9,000
	(Being the cash deposited into Bank)				
3	Machinery A/c	Dr.		5,000	
	To Bank A/c				5,000
	(Being the machinery purchased and paid by cheque)				

15	Machinery A/c	Dr.		100	
	To Cash A/c				100
	(Being the installation charges of machinery capitalised)				
20	Purchases A/c	Dr.		1,800	
	To Naveen				1,800
	(Being the timber purchased from Naveen ₹ 2,000 at a discount of 10%)				
23	Office Furniture A/c	Dr.		500	
	To Purchases A/c				500
	(Being the furniture costing ₹ 500 use in furnishing the office)				
25	Naresh	Dr.		950	
	To Sales A/c				950
	(Being the furniture sold to Naresh for ₹ 1,000 and allowed him 5% trade discount)				
28	Bank A/c	Dr.		930	
	Discount Allowed A/c	Dr.		20	
	To Naresh				950
	(Being a cheque received from Naresh in full settlement sent to bank)				
29	Naveen	Dr.		1,800	
	To Bank A/c				1,750
	To Discount Received A/c				50
	(Being a cheque for ₹ 1,750 sent to Naveen in full settlement of his account)				
31	Wages A/c	Dr.		350	
	Rent A/c	Dr.		200	
	To Cash A/c				550
	(Being the amount paid for wages and rent)				
		Total		30,650	30,650

Recording of Special Transactions relating to Goods

ILLUSTRATION 4

Journalise the following transactions in the books of Tushar:

1	Withdrawn goods for personal use (Sale Price ₹ 600, Cost ₹ 500).
2	Goods costing ₹ 500 given as charity (Sale Price ₹ 600)
3	Goods costing ₹ 1,000 distributed as free samples (Sale Price ₹ 1,200)
4	Goods stolen in transit (Sale Price ₹ 1,000, Cost ₹ 800)
5	Goods destroyed by fire (Sale Price ₹ 1,000, Cost ₹ 800)
6	Goods stolen by an employee (Sale Price ₹ 1,000, Cost ₹ 600)
7	Goods used in making of Furniture (Sale Price ₹ 2000, Cost ₹ 1,500)

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
1.	Drawings A/c	Dr.		500	
	To Purchases A/c				500
	(Being the goods costing ₹ 500 withdrawn for personal use)				
2.	Charity A/c	Dr.		500	
	To Purchases A/c				500
	(Being the goods distributed as charity)				
3.	Free Sample A/c/Sales Promotion A/c	Dr.		1,000	
	To Purchases A/c				1,000
	(Being the goods costing ₹ 1,000 distributed as free samples)				
4.	Loss in Transit A/c	Dr.		800	
	To Purchases A/c				800
	(Being the goods costing ₹ 800 stolen in transit)				
5.	Loss due to fire A/c	Dr.		800	
	To Purchases A/c				800
	(Being the goods costing ₹ 800 destroyed by fire)				
6.	Loss by Embezzlement A/c	Dr.		600	
	To Purchases A/c				600
	(Being the goods costing ₹ 600 stolen by an employee)				
7.	Furniture A/c	Dr.		1,500	
	To Purchases A/c				1,500
	(Being the goods costing ₹ 1,500 used in making furniture)				
		Total		5,700	5,700

Banking Transactions

ILLUSTRATION 5

Journalise the following transactions:

1.	Paid into bank ₹ 11,000 for opening a current account
2.	Withdrew for private expenses ₹ 1,000
3.	Withdrew from bank ₹ 3,000
4.	Withdrew from bank for private use ₹ 1,500
5.	Placed on Fixed Deposit A/c at Bank by transfer from current account ₹ 5,000.

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
1.	Drawings A/c	Dr.		500	
1.	Bank A/c	Dr.		11,000	
	To Cash A/c				11,000
	(Being the cash deposited into the bank)				
2.	Drawings A/c	Dr.		1,000	
	To Cash A/c				1,000
	(Being the cash withdrawn for personal use)				
3.	Cash A/c	Dr.		3,000	
	To Bank A/c				3,000
	(Being the cash withdrawn for office use)				
4.	Drawing A/c	Dr.		1,500	
	To Bank A/c				1,500
	(Being the cash withdrawn from bank for personal use)				
5.	Fixed Deposit A/c	Dr.		5,000	
	To Bank A/c				5,000
	(Being the transfer from current A/c to fixed deposit A/c)				
		Total		21,500	21,500

ILLUSTRATION 6

Journalise the following transactions:

2013	
March 1	Received a crossed cheque from Ramesh & Co. to whom goods were sold for ₹ 2,000 last year. Allowed him 1% discount.
2	Ramesh & Co.'s Cheque deposited into bank
5	Ramesh & Co.'s Cheque dishonoured (bank charged ₹ 10)
20	Ramesh & Co. settled his account by means of a Cheque for ₹ 2,025, ₹ 15 being for interest charged.
31	Bank charges (half yearly) ₹ 100

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
01.03.13	Cheques-on-hand A/c	Dr.		1,980	
	Discount Allowed A/c	Dr.		20	
	To Ramesh & Co.				2,000
	(Being a cheque received not yet deposited and discount allowed 1%)				
02.03.13	Bank A/c	Dr.		1,980	
	To Cheques-on-hand A/c				1,980
	(Being the cheque deposited into the bank)				

05.03.13	Ramesh & Co.	Dr.		2,010	
	To Discount allowed A/c				20
	To Bank A/c				1,990
	(Being the cheque of Ramesh & Co. dishonoured bank charges charged & discount already allowed disallowed)				
20.03.13	Ramesh & Co.	Dr.		15	
	To Interest Received A/c				15
	(Being the interest due from Ramesh & Co.)				
20 03.13	Bank A/c	Dr.		2,025	
	To Ramesh & Co.				2,025
	(Being Ramesh & Co. settled his account by means of a cheque)				
31.03.13	Bank Charges A/c	Dr.		100	
	To Bank A/c				100
	(Being the bank charged it half-yearly charges)				
		Total		8,130	8,130

10.0 LEDGER

After recording the transaction in the Journal, the next stage is the transfer of transactions in the respective accounts opened in the ledger.

Meaning of Ledger

1. A Ledger is a principal book which contains all the accounts (Assets Accounts, Liabilities Accounts, Capital Accounts, Revenue Accounts, Expenses Accounts) to which the transactions recorded in the books of original entry are transferred.
2. As the ledger is the ultimate destination of all transactions, the ledger is called the **Book of Final Entry.**
3. It is considered a permanent record and is more frequently referred to.
4. It may be noted that an account is a formal record of all transactions relating to change in a particular item.

Form of the Ledger

A ledger may be kept in the form of bound books, loose leaf sheets *or* CDs *or* RCDs *or* DVDs *or* PAN Drive (in case computer is used) *or* any other like device.

Utility of the Ledger

The main utilities of a ledger are summarised as follows:

1. It provides complete information about all accounts in one book.
2. It enables to ascertain what the main items of revenues are.
3. It enables to ascertain what the main items of expenses are.
4. It enables to ascertain what the assets are and of what values.
5. It enables to ascertain what the liabilities are and of what amounts.
6. It facilitates the preparation of Final Accounts.

Format of a Ledger Account

A ledger account can be prepared in any one of the following two forms:

Form 1

.. . .(Name of the Account). ... . Ledger Folio No. . . . . .

Dr. *Cr.*

Date	*Particulars*	*Folio* ₹	*Amount*	*Date*	*Particulars*	*Folio* ₹	*Amount*

Form 2

. . . .(Name of the Account). . . . . Ledger Folio No. . . . . .

Date	*Particulars*	*Folio*	*Debit Amount* ₹	*Credit Amount* ₹	*Balance* ₹	*Dr./Cr.*

11.0 POSTING

Meaning of Posting

1. Posting is the process of transferring the transactions recorded in the books of original entry in the concerned accounts opened in the ledger.
2. It may be done daily, weekly, fortnightly or monthly according to the convenience and requirements of the business.

Necessity of Posting

It is necessary to post all journal entries into various accounts in the ledger because posting helps us to know the net effect of various transactions during a given period on a particular account.

Procedure of Posting from Journal

The procedure of posting is given as follows:

Procedure of Posting for an Account which has been debited in a transaction

Step 1 → *With the help of an Index, open that page on which the concerned account appears.*

Step 2 → *Enter the date of the transaction, in the 'Date column' on the debit side.*

Step 3 → *Record the name of the account credited in the Journal, in the 'Particulars column' on the debit side as "To ... (name of the account credited)..."*

Step 4 → *Record the page number of the Journal in the 'Folio column' on the debit side and in the journal, write the page number of the ledger on which a particular account appears in the 'Ledger Folio column'.*

Step 5 → *Enter the relevant amount in the 'Amount column' on the debit side.*

Procedure of Posting for an Account which has been credited in a transaction

Step 1 → *With the help of an Index, open that page on which the concerned account appears.*

Step 2 → *Enter the date of the transaction, in the 'Date column' on the credit side.*

Step 3 → *Record the name of the account debited in the Journal in the 'Particulars column' on the credit side as "By.....(name of the account debited)....."*

Step 4 → *Record the page number of the Journal in the 'Folio column' on the credit side and in the journal, write the page number of the ledger on which a particular account appears in the 'Ledger Folio column'.*

Step 5 → *Enter the relevant amount in the 'Amount column' on the credit side.*

ILLUSTRATION 7

On 1.4.2013 Mohan, a customer, paid Cash ₹ 950 on account of ₹ 1,000. Journalise and post it into the ledger.

SOLUTION

JOURNAL

Folio 2

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013	Cash A/c	Dr.	5	950	
April 1	To Mohan		9		950
	(Being cash received from Mohan on account)				

LEDGER **Folio 5**

Dr. **CASH ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
2013 April 1	To Mohan	2	950				

Folio 9

Dr. **MOHAN'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
				2013 April 1	By Cash A/c	2	950

12.0 COMPOUND ENTRY

Meaning of Compound Entry

When more than two accounts are involved in a transaction and the transaction is recorded by means of a single journal entry instead of passing several journal entries, such single journal entry is termed as 'Compound Journal Entry'.

Note: A compound entry may also be passed if there are more transactions of the same nature taking place on the same date.

How to Pass a Compound Entry

Compound Entry may be recorded in the following three ways:

(a) by debiting one account and crediting two or more accounts; or
(b) by debiting two or more accounts and crediting one account; or
(c) by debiting several accounts and crediting several accounts.

Examples of Compound Entry

Date	*Particulars*	*L.F.*	*Dr. (₹)*	*Cr. (₹)*
1.	**Paid ₹ 490 to Ram in full settlement of his account of ₹ 500.**			
	Ram' A/c Dr.		500	
	To Cash A/c			490
	To Discount Received A/c			10
	(Being cash paid to Ram in full settlement of his A/c)			
2.	**Received ₹ 490 from Shyam in full settlement of his account of ₹ 500.**			
	Cash A/c Dr.		490	
	Discount Allowed A/c Dr.		10	
	To Shyam's A/c			500
	(Being cash received from Shyam in full settlement of his account)			

ILLUSTRATION 8

On 2.4.2013 Mohan, a customer, paid cash ₹ 950 in full settlement of his account of ₹ 1,000. Journalise and post it into the ledger.

SOLUTION

JOURNAL

Folio 5

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013					
April 2	Cash A/c	Dr.	5	950	
	Discount Allowed A/c	Dr.	4	50	
	To Mohan's A/c		8		1,000
	(Being the cash received from Mohan in full settlement)				

LEDGER

Folio 5

Dr. **CASH ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013							
April 2	To Mohan's A/c	5	950				

Folio 4

Dr. **DISCOUNT ALLOWED ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013							
April 2	To Mohan's A/c	5	50				

Folio 8

Dr. **MOHAN'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013			
				April 2	By Cash A/c	5	950
					By Discount Allowed A/c	5	50

13.0 MEANING, RECORDING AND POSTING OF OPENING ENTRY

Meaning of an 'Opening Entry'

'Opening Entry' is a journal entry by means of which previous accounting period's balances of various Assets, Liabilities and Capital are brought forward in the books of Current Accounting Period.

Method of Recording an 'Opening Entry'

While passing an opening entry, all Assets Accounts (individually) are debited and all Liabilities Accounts (individually) are credited and the Net worth (i.e., Excess of Assets over Liabilities) is credited to Proprietor's Capital Account (*in case of a Proprietary concern*) *or* Partners' Capital Accounts (*in case of a Partnership Concern*).

Procedure of Posting an Opening Entry

The procedure of posting an opening entry is same as in case of an ordinary journal entry except that in case of an account which has been debited, the words **To balance b/f** are recorded in the 'Particulars column' on the debit side and in case of an account which has been credited, the words **By balance b/f** are recorded in the 'Particulars column' on the credit side.

ILLUSTRATION 9

Pass the opening entry in the journal of Ram (as on 1st April 2013) and post the same into the ledger:

Cash-in-hand ₹ 1,000, Cash at Bank ₹ 5,000, Stock of ₹ 20,000, Land and Building ₹ 1,00,000, Plant and Machinery ₹ 50,000, Furniture and Fixtures ₹ 25,000, Owings from *X* Ltd. ₹ 12,500, Prepaid Insurance ₹ 500, Interest received in advance ₹ 250, Loan from *Y* Ltd. 10,000, Owing to *Z* Ltd. ₹ 3,750.

SOLUTION

JOURNAL

Folio 1

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013					
April 1	Cash in hand	Dr.	1	1,000	
	Bank	Dr.	2	5,000	
	Stock	Dr.	3	20,000	
	Land and Building	Dr.	4	1,00,000	
	Plant and Machinery	Dr.	5	50,000	
	Furniture and Fixtures	Dr.	6	25,000	
	X Ltd.	Dr.	7	12,500	
	Prepaid Insurance	Dr.	8	500	
	To Interest received in advance		9		250
	To Loan from Y Ltd.		10		10,000
	To Z Ltd.		11		3,750
	To Ram's Capital A/c *(balancing figure)*		12		**2,00,000**
	(Being the balances brought forward from the last year)				

LEDGER OF RAM **Folio 1**

Dr. **CASH ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
2013							
April 1	To Balance b/f	1	1,000				

Folio 2

Dr. **BANK ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
2013							
April 1	To Balance b/f	1	5,000				

Folio 3

Dr. **STOCK ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	20,000				

Folio 4

Dr. **LAND AND BUILDING ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	1,00,000				

Folio 5

Dr. **PLANT & MACHINERY ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	50,000				

Folio 6

Dr. **FURNITURE & FIXTURES ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	25,000				

Folio 7

Dr. **X LTD.** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	12,500				

Folio 8

Dr. **PREPAID INSURANCE** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	500				

Folio 9

Dr. **INTEREST RECEIVED IN ADVANCE** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	250

Folio 10

Dr. **LOAN FROM Y LTD.** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	10,000

Folio 11

Dr. **Z LTD.** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	3,750

Folio 12

Dr. **RAM'S CAPITAL ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	2,00,000

14.0 BALANCING OF ACCOUNTS

Meaning of Balancing of Accounts

After posting into the ledger, the next stage is to ascertain the net effect of all transactions posted to an account. The process of ascertaining the difference between the total of debits and total of credits appearing in an account, is known as **Balancing of an account.**

Balance of an Account

1. Balance of an account is the difference between the total of debits and total of credits appearing in an account.
2. It signifies the net effect of all transactions posted to that account during a given period.
3. It may be a debit balance or a credit balance or a nil balance depending upon whether the debit or the credit side total is higher.

Types of Accounts that are Balanced

Normally, Personal Accounts and Real Accounts are balanced. Nominal Accounts are not usually balanced but are closed by transfer to Trading and Profit & Loss Account.

Significance of Balancing

Balancing an account is necessary to ascertain the net effect of all transactions posted to that account during a given period.

Procedure for Balancing a Ledger Account

Step 1 → *Total both the 'Debit Amount column' and 'Credit Amount column' separately and ascertain the difference in two totals.*

Step 2 → *If the debit side total exceeds the credit side total, put such difference (called debit balance) on the credit side in 'Credit Amount column', write the date on which balancing is being done in the 'Date column' and the words 'By Balance c/d' in 'Particulars column'.*

OR

If the credit side total exceeds the debit side total, put such difference (called credit balance) on the debit side in 'Debit Amount column', write the date on which balancing is being done in the 'Date column' and the words 'To Balance c/d' in 'Particulars column'.

Step 3 → *Total both the 'Debit Amount column' and 'Credit Amount column' and put the total on both the sides and draw a double line immediately beneath the totals.*

Step 4 → *Enter the date of the beginning of next period in 'Date column' and bring down the debit balance on the debit side along with the words 'To Balance b/d' in Particulars column and the credit balance on the, credit side along with the words 'By Balance b/d' in 'Particulars column'.*

ILLUSTRATION 10

Balance the following ledger accounts on 31st Jan. 2013.

Folio 8

Dr. **RAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
02.01.13	To Sales A/c		1,00,000	05.01.13	By Sales Returns		10,000
				25.01.13	By Cash A/c		20,000
				31.01.13	By Bank A/c		30,000
				31.01.13	By Discount A/c		1,000

Folio 8

Dr. **SHYAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
06.01.13	To Purchase Returns A/c		8,000	01.01.13	By Purchases A/c		1,00,000
26.01.13	To Cash A/c		20,000				
31.01.13	To Bank A/c		30,000				
31.01.13	To Discount A/c		1,000				

SOLUTION

Steps involved in Balancing Ram's Account

Step 1 → Total of Debit Amount Column ₹ 1,00,000
Total of Credit Amount Column ₹ 61,000
Difference or Balance ₹ 39,000

Since the total of debit amount column exceeds the total of credit amount column, the difference in the both these totals is called Debit Balance. Credit side is called shorter side.

Step 2 → Enter the date of balancing (i.e., 31.01.2013), in Date Column 'By Balance c/d' in Particulars column, and the difference in the Amount Column on the shorter side i.e., credit side.

Step 3 → Total both the amounts columns and draw a double line immediately beneath the totals.

Step 4 → Enter the date of the beginning of the next period (i.e., 1st Feb.) in the 'Date Column', 'To Balance b/d' in 'Particulars Column' and debit balance in 'Amount Column' on the debit side.

After taking the aforesaid steps, Ram's Account will appear as follows:

Folio 8

Dr. **RAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
02.01.13	To Sales A/c		1,00,000	05.01.13	By Sales Returns		10,000
				25.01.13	By Cash A/c		20,000
				31.01.13	By Bank A/c		30,000
				31.01.13	By Discount A/c		1,000
				31.01.13	By Balance c/d		39,000
			1,00,000				1,00,000
01.02.13	To Balance b/d		39,000				

Steps involved in Balancing Shyam's Account

Step 1 → Total of Debit Amount Column ₹ 59,000
Total of Credit Amount Column ₹ 1,00,000
Difference Balance ₹ 41,000

Since the total of credit amount column exceeds the total of debit amount column, the difference in both these totals is called 'Credit Balance'. Debit side is called shorter side.

Step 2 → Enter the date of Balancing (i.e., 31.01.2013) in the 'Date Column', 'To Balance c/d' on 'Particulars Column' and the difference in the Account Column on the shorter side i.e., debit side.

Step 3 → Total both the amounts column and draw a double line immediately beneath the totals.

Step 4 → Enter the date of the beginning of the next period (i.e., 1st Feb.) in the 'Date Column', 'By Balance c/d' in 'Particulars Column' and credit balance in 'Amount Column' on the credit side.

After taking the aforesaid steps, Shyam's Account will appear as follows:

Folio 8

Dr. **SHYAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
06.01.13	To Purchase Return A/c		8,000	01.01.13	By Purchase A/c		1,00,000
26.01.13	To Cash A/c		20,000				
31.01.13	To Bank A/c		30,000				
31.01.13	To Discount A/c		1,000				
31.01.13	To Balance c/d		41,000				
			1,00,000				1,00,000
				01.02.13	By Balance b/d		41,000

THEORETICAL QUESTIONS

1. What is an Account?
2. Enumerate the heads of Traditional Classification of Accounts.
3. Enumerate the heads of Accounting Equation based Classification of Accounts.
4. Classify the following Accounts:

1. Purchases A/c
2. Purchases Returns A/c
3. Sales A/c
4. Sales Returns A/c
5. Cash A/c
6. Bank A/c
7. Bank Overdraft A/c
8. Drawings A/c
9. Outstanding Salary A/c
10. Prepaid Rent A/c
11. Interest accrued A/c
12. Interest received in advance A/c
13. Cheques -in-hands A/c
14. Interest on Investments
15. Depreciation
16. Loan given
17. Loan taken

5. What is meant by the term 'Debit'?
6. What is meant by the term 'Credit'?
7. What is a Journal?
8. What is Journalising?
9. What is Journal Entry?
10. Which column in a Journal is not filled at the time of journalising?
11. What is Narration?
12. State any two Advantages of Journal.
13. State any two Limitations of Journal.
14. What is done to overcome the shortcomings of the use of the journal only as a book of original entry?
15. List any two differences between Trade Discount and Cash Discount.
16. Name the book in which accounts are opened.
17. What is a Ledger?
18. What is the object of preparing an Account?
19. Why is the Ledger called the Book of Final Entry?
20. Enumerate the forms in which a ledger may be kept.

21. Enumerate any five utilities of ledger.
22. What is Posting?
23. What is the necessity of Posting?
24. What is a Compound Entry?
25. What is an Opening Entry?
26. How is an Opening Entry recorded in a Journal?
27. What is balancing of an Account?
28. What is Balance of an Account?
29. What is the significance of Balancing?

PRACTICAL QUESTIONS

1. Journalise the following transactions in the books of Shri Ganesh:

2013		₹
April 1	Shri Ganesh started his business with Cash	30,000
2	Purchased goods	3,000
3	Purchased goods for Cash	6,000
4	Purchased goods from Mr Sun for Cash	9,000
5	Sold goods	3,600
6	Sold goods for Cash	7,200
8	Sold goods to Mr Sky for Cash	10,800
9	Purchased goods from Mr Moon	6,000
10	Purchased goods from Mr Star on Credit	12,000
11	Sold goods to Mr Sea	7,500
12	Sold goods to Mr Ocean on Credit	15,000
13	Mr Sea returned goods	1,500
15	Returned goods to Mr Moon	1,200
16	Received from Mr Sea	5,940
	Allowed him discount	60
17	Paid Mr Moon	4,728
	Discount allowed by him	72
29	Withdrew for personal use	600
30	Withdrew goods for private use (Cost ₹ 300, Selling Price ₹ 360)	
31	Paid Salary to Mr Sevakram, an employee	300
31	Paid Rent to Mr Estate, landlord	300

[**Ans.** Total of Journal ₹ 1,25,100]

2. Journalise the following transactions of Mahesh:

2013		₹
April 1	Ramesh started business with cash	20,000
" 2	Paid into Bank	14,000
" 3	Bought goods for cash	1,000
" 4	Drew Cash from bank for office	200
" 13	Sold goods to Krishna on credit	300
" 20	Bought goods of Shyam on credit	450
" 24	Received from Krishna	290
	Allowed him discount	10
" 28	Paid Shyam Cash	430
	Discount allowed	20
" 30	Cash Sales for the month	1,600
	Paid Rent	100
	Paid salary	200

[**Ans.** Total of Journal ₹ 38,600]

3. Record the following transactions in the journal of the Delhi Furniture Marts:

2013	
Jan 1	Started business with cash ₹ 20,000.
2	Deposited into bank ₹ 18,000.
3	Purchased machinery for ₹ 10,000 from Jawahar and gave him a cheque for amount.
15	Paid installation charges of machinery ₹ 200.
20	Purchased timber from Naveen of the list price of ₹ 4,000. He allowed 10% Trade Discount.
23	Furniture costing ₹ 1,000 was used in furnishing the office.
25	Sold furniture to Naresh of the list price of ₹ 2,000 and allowed him 5% Trade Discount.
28	Received a crossed cheque from Naresh for ₹ 1,860 in full settlement and sent the cheque to bank.
29	Sent to Naveen in full settlement a cheque for ₹ 3,500.
31	Paid wages ₹ 700 and rent ₹ 400.

[**Ans.** Total of Journal ₹ 61,300]

4. Journalise the following transactions in the books of Tushar Tulsian:

1. Withdrawn goods for personal use (sale price ₹ 360, cost ₹ 300).
2. Goods costing ₹ 300 given as charity. (sale price ₹ 360)
3. Goods costing ₹ 600 distributed as free samples. (sale price ₹ 720)
4. Goods stolen in transit (sale price ₹ 600, cost ₹ 480)
5. Goods destroyed by fire (sale price ₹ 600, cost ₹ 480)
6. Goods stolen by an employee (sale price ₹ 600, cost ₹ 360)
7. Goods used in making of furniture (sale price ₹ 1,200, cost ₹ 900)

[**Ans.** Total of Journal ₹ 3,420]

5. Journalise the following transactions:

1. Paid into bank ₹ 6,600 for opening a current account
2. Withdrew for private expenses ₹ 600
3. Withdrew from bank ₹ 1,800
4. Withdrew from bank for private use ₹ 900
5. Placed on Fixed Deposit A/c at Bank by transfer from current account ₹ 3,000.

[**Ans.** Total of Journal ₹ 12,900]

6. Journalise the following transactions:

2013	
March 1	Received a cheque from Ramesh & Co. to whom goods were sold for ₹ 1,200 last year. Allowed him 1% discount
2	Ramesh & Co.'s cheque deposited into bank
5	Ramesh & Co.'s cheque dishonoured (bank charged ₹ 6)
20	Ramesh & Co. settled his account by means of a cheque for ₹ 1,215, ₹ 9 being for interest charged.
31	Bank charges (half yearly) ₹ 60

[**Ans.** Total of Journal ₹ 4,878]

8 Subsidiary Books I — Cash Book

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Need for Sub-division of the Journal
- Meaning of Special Journals (or Subsidiary Books)
- Advantages of Special Journals (or Subsidiary Books)
- Meaning and Types of Cash Books
- Single Column Cash Book – Meaning, Format
- Cash Book with Discount Column – Meaning, Format
- Three Column Cash Book – Meaning, Format, Posting
- Petty Cash Book – Meaning, Format, Posting

1.0 NEED FOR SUB-DIVISION OF THE JOURNAL

1. When the number of transactions is large, it is practically impossible to record all the transactions through one journal **because of the following limitations of Journal**:

(a) The system of recording all the transactions in a journal requires (i) the writing down of the name of the account involved as many times as the transactions occur; and (ii) an individual posting of each account debited and credited and hence involves the repetitive journalising and posting labour.

(b) Such a system does not provide the information on prompt basis.

(c) Such a system does not facilitate the installation of an internal check system since the journal can be handled by only one person.

(d) The journal becomes bulky and voluminous.

2. To overcome the shortcomings of the use of the journal only as a book of original entry, the journal is sub-divided into special journals.

3. The journal is sub-divided in such a way that a separate book is used for each category of transactions which are repetitive in nature and are sufficiently large in number.

2.0 MEANING OF SPECIAL JOURNALS (OR SUBSIDIARY BOOKS)

Meaning of Special Journals (or Subsidiary Books)

Special Journals refer to the journals meant for specific transactions of similar nature. Special Journals are also known as subsidiary books *or* day books.

Types of Special Journals (or Subsidiary Books)

The proforma and number of special journals vary according to the requirements of each enterprise. In any large business, the following special journals are generally used:

Specific Transactions to be Recorded In Special Journals

Name of Special Journal	*Specific transactions to be recorded*
I. **Cash Journals:**	
(a) Simple Cash Book	Cash Transactions
(b) Cash Book with Discount Column	Cash and Discount transactions
(c) Cash Book with Bank & Discount Column	Cash, Bank and Discount transactions
(d) Petty Cash Book	Petty Cash transactions
II. **Goods Journals:**	
(a) Purchases Book	Credit Purchases of Goods
(b) Sales Book	Credit Sales of Goods
(c) Sales Returns Book (*or* Returns Inward book)	Goods returned by those customers to whom goods were sold on credit
(d) Purchase Returns Book (*or* Returns Outward Book)	Goods returned to those suppliers from whom goods were purchased on credit
III. **Bills Journal:**	
(a) Bills Receivable Book	Bills Receivable drawn
(b) Bills Payable Book	Bills Payable accepted
IV. **Journal Proper**	Transactions not covered elsewhere

3.0 ADVANTAGES OF SPECIAL JOURNALS (OR SUBSIDIARY BOOKS)

The advantages of using Special Journals are as follows:

1. **Facilitates division of work** — The accounting work can be divided among many persons.
2. **Permits the installation of Internal Check System** — The accounting work can be divided in such a manner that the work of one person is automatically checked by another person. With the use of internal check, the possibility of occurrence of error/fraud may be avoided.
3. **Permits the use of specialized skill** — The accounting work requiring specialised skill may be assigned to a person possessing the required skill. With the use of a specialised skill, prompt, economical and more accurate supply of accounting information may be obtained.

4. **Time and labour saving in journalizing and posting** — *For instance,* when Sales Book is kept, the name of Sales Account will not be required to be written down in the Journal as many times as the sales transactions and at the same time, Sales Account will not be required to be posted again and again since only a periodic total of Sales Book is posted to the Sales Account.

4.0 MEANING AND TYPES OF CASH BOOKS

Meaning of Cash Book

A Cash Book is a special journal which is used for recording all Cash Receipts and Cash Payments.

Cash Book — both a Journal and a Ledger

The Cash Book is a book of original entry (*or* Prime Entry) since transactions are recorded for the first time from the source documents. The Cash Book is a ledger in the sense that it is designed in the form of a Cash Account and records Cash receipts on the debit side and cash payments on the credit side. Thus, the Cash Book is both a journal and a ledger.

Types of Cash Books

The various types of Cash Book from the point of view of uses may be as follows:

1. Single Column Book
2. Cash Book with Discount Column
3. Cash Book with Bank & Discount Column
4. Petty Cash Book

5.0 SINGLE COLUMN CASH BOOK

Meaning of Single Column Cash Book

Single Column Cash Book has one amount column on each side. All cash receipts are recorded on the debit side and all cash payments on the credit side. In fact, this book is nothing but a Cash Account. Hence, there is no need to open Cash Account in the ledger.

Format of Single Column Cash Book

Debit Side **SINGLE COLUMN CASH BOOK** Credit Side

Date	*Particulars*	*L.F.*	*Amount* ₹	*Date*	*Particulars*	*L.F.*	*Amount* ₹

ILLUSTRATION 1

Enter the following transactions in Single Column Cash Book:

Date	*Particulars*	*₹*
2013		
Jan. 1	Cash in hand	1,700
5	Paid to R. Bansal	300
	Discount allowed by him	10
8	Purchased goods from Goyal & Co. for cash	400
10	Received from R. Kansal	980
	Discount allowed	20
16	Sold goods to Garg & Co. for cash	400
21	Paid to S. Ansel	295
	Discount received	5
25	Paid wages	50
31	Paid to X & Co. in full settlement of his account which shows a credit balance of ₹ 400	390
31	Purchased furniture	200

SOLUTION

Dr. **CASH BOOK** *Cr.*

Date	*Particulars*	*L.F.*	*₹*	*Date*	*Particulars*	*L.F.*	*₹*
2013				2013			
Jan. 1	To Balance b/d		1,700	Jan. 5	By R. Bansal		300
10	To R. Kansal		980	8	By Purchases		400
15	To Sales A/c		400	21	By S. Ansel		295
				25	By Wages A/c		50
				31	By X & Co.		390
					By Furniture		200
					By Balance c/d		1,445
			3,080				3,080
2013							
Feb. 1	To Balance b/d		1,445				

ILLUSTRATION 2

Prepare a Simple Cash Book from the following transactions of Mr Ram Gopal of Delhi.

2013		*₹*	*2013*		*₹*
April 1	Mr Ram Gopal Commenced business with cash	8,000	April 17	Paid for stationery Paid for office furniture	15 185
3	He bought goods for cash	5,000	21	Received from	
5	Sold goods for cash	100		Mr Kailash Chand	680
6	Received cash from		22	Paid for advertising	90
	Mr Manohar Lal	360	25	Purchased Postage	
9	Paid into bank	3,000		stamps	8
13	Paid cash to Hari Krishan	215	28	Paid rent	100
16	Sold goods for cash	1,500	30	Paid electricity charges	15

SOLUTION

Dr. **CASH BOOK** *Cr.*

Date	*Particulars*	*L.F.*	₹	*Date*	*Particulars*	*L.F.*	₹
2013				2013			
April 1	To Capital A/c		8,000	April 3	By Purchases A/c		5,000
5	To Sales A/c		100	9	By Bank A/c		3,000
6	To Manohar Lal		360	13	By Hari Krishan		215
16	To Sales A/c		1,500	17	By Stationery A/c		15
21	To Kailash Chand		680	18	By Furniture A/c		185
				22	By Advertising A/c		90
				25	By Postage A/c		8
				28	By Rent A/c		100
				30	By Electricity Charges A/c		15
				30	By Balance c/d		2,012
			10,640				10,640
May 1	To Balance b/d		2,012				

6.0 CASH BOOK WITH DISCOUNT COLUMN

Meaning of Cash Book with Discount Column

Cash Book with Discount Column has two amount columns (one for Cash and another for Discount) on each side. All Cash Receipts and Cash Discount allowed are recorded on the debit side and all Cash Payments and Cash Discount received are recorded on the credit side.

Format of Cash Book with Discount Column

Debit Side **CASH BOOK WITH DISCOUNT COLUMN** Credit Side

Date	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Date*	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹

ILLUSTRATION 3

Prepare a Two Column Cash Book from the following transactions of Shri R. K. Gupta:

Date	*Particulars*	*₹*
2013		
Jan.1	Cash in hand	4,000
6	Cash Purchases	2,000
10	Wages paid	40
11	Cash Sales	6,000
12	Cash received from Suresh and	1,980
	allowed him discount	20
19	Cash paid to Munna	2,470
	and discount received	30
27	Cash paid to Radhey	400
28	Purchased goods for cash	2,070

SOLUTION

Dr. **TWO COLUMN CASH BOOK OF SHRI R.K. GUPTA** *Cr.*

Date	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Date*	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹
2013					2013				
Jan. 1	To Balance b/d			4,000	Jan. 6	By Purchases A/c			2,000
11	To Sales A/c			6,000	10	By Wages A/c			40
	To Suresh		20	1,980	19	By Munna		30	2,470
					27	By Radhey			400
					28	By Purchases A/c			2,070
					31	By Balance c/d			5,000
			20	11,980				30	11,980
2013									
Feb.1	To Balance b/d			5,000					

7.0 THREE COLUMN CASH BOOK

Meaning of Three Column Cash Book

Three Column Cash Book has three amount columns (one for Cash, one for Bank and one for Discount) on each side. All Cash Receipts, Deposits into Bank and Discount Allowed are recorded on debit side and all Cash Payments, Withdrawals from bank and Discount Received are recorded on the credit side. In fact, a three column cash book serves the purpose of Cash Account and Bank Account. Hence, there is no need to open these two accounts in the ledger.

Format of Three Column Cash Book

Debit side **THREE-COLUMN CASH BOOK** Credit Side

Date	*Particulars*	*L.F.*	*Dis-count* ₹	*Cash* ₹	*Bank* ₹	*Date*	*Particulars*	*L.F.*	*Dis-count* ₹	*Cash* ₹	*Bank* ₹

Posting from Main Cash Book

The various items appearing on the debit side and credit side of the Cash Book are posted as follows:

Posting of items appearing on debit side	***Posting of items appearing on credit side***
(a) **All the receipts** appearing on the debit side are **posted to the credit** of the respective ledger accounts in the ledger by writing 'By Cash/Bank A/c' in the particulars column since cash/cheque has been received in respect of them.	**All the payments** appearing on the credit side are **posted to the debit** of the respective ledger accounts in the ledger by writing 'To Cash/Bank A/c' in the particulars column since cash/cheque has been paid in respect of them.
(b) **An individual entry in the discount allowed column** is **posted to** the **credit** of the respective personal accounts in the ledger by writing 'By Discount Allowed A/c' in the particulars column.	**An individual entry in the discount received column** is **posted to** the **debit** of the respective personal accounts in the ledger by writing 'To Discount Received A/c' in the particulars column.
(c) **The total of discount allowed column on** the **debit side** is **posted to** the **debit of** the **'Discount Allowed A/c'** in the ledger by writing 'To Sundries as per Cash Book' in the particulars column.	**The total of discount received column on** the **credit side** is **posted** to the **credit of the 'Discount Received A/c'** in the ledger by writing 'By Sundries as per Cash book' in the particulars column.

TUTORIAL NOTES

1. *Cash account is not opened in the ledger since the 'Cash column' in the Cash Book serves the purpose of a Cash Account.*
2. *In case of a Cash Book with Bank Column, Bank Account is not opened in the ledger since the 'Bank column' in the Cash Book serves the purpose of a Bank Account.*
3. *In case of Cash Book with Discount column, 'Discount Allowed Account' and 'Discount Received Account' are opened in the ledger since the Cash Book does not serve the purpose of Discount Account.*
4. *In case of Cash Book with Discount Column, 'Discount Columns' are totalled and never balanced.*
5. *Posting in the 'Discount Allowed Account' and 'Discount Received Account' are made only for the totals and not for the individual transactions.*
6. *All Contra entries (i.e., entries of which debit and credit aspects are simultaneously recorded in the Cash Book. e.g. cash deposited into the Bank or Cash withdrawn from the Bank) are ignored while posting from Cash Book to the Ledger since both the aspects (Debit and Credit) are recorded in the Cash Book itself. These entries are marked with letter 'C' in Ledger Folio Column.*
7. *Whenever cheques/drafts received are not deposited immediately into the bank, then all such receipts should be first recorded as 'Cheques-on-hand' in the Journal Proper and subsequently, when these are deposited into the bank, the same should be recorded on debit side in 'Bank Column' by writing ' To Cheques-on-hand A/c' in the particulars column.*
8. *Unless otherwise indicated it is presumed that the cheque received has been deposited on the very same day.*

ILLUSTRATION 4

Prepare a Three Column Cash Book of M/s Tulsian & Co. from the following particulars.

2013	
Jan. 1	Cash in hand ₹ 50,000, Bank Overdraft ₹ 20,000.
2	Paid into bank ₹ 10,000.
3	Bought goods from Hari for ₹ 200 for cash.
4	Bought goods for ₹ 2,000 paid cheque for them, discount allowed 1%.
5	Sold goods to Mohan for cash ₹ 1,175.
6	Received a crossed cheque from Shyam to whom goods were sold for ₹ 800. Discount allowed 12.5%.
7	Shyam's cheque deposited into bank.
8	Purchased an old typewriter for ₹ 200. Spent ₹ 50 on its repairs.
9	Bank notified that Shyam's cheque has been returned dishonoured and debited the account in respect of charges ₹ 10.
10	Received a money order for ₹ 25 from Hari.
11	Shyam settled his account by means of a crossed cheque for ₹ 820, ₹ 20 being for interest charged.
12	Withdrew from bank ₹ 10,000.
18	Discounted a B/E for ₹ 1,000 at 1% through bank.
20	Honoured our own acceptance by cheque ₹ 5,000.
22	Withdrew for personal use ₹ 1,000.
24	Paid trade expenses ₹ 2,000.

25	Withdrew from bank for private expenses ₹ 1,500.
26	Purchased machinery from Rajiv for ₹ 5,000 and paid him by means of a bank draft purchased for ₹ 5,005.
27	Issued cheque to Ram Saran for cash purchase of furniture ₹ 1,575.
28	Received a crossed cheque for commission ₹ 500 from R. & Co. and deposited into bank.
29	Ramesh who owed us ₹ 500 became bankrupt and paid us 50 paise in the rupee.
30	Received payment of a loan of ₹ 5,000 and deposited ₹ 3,000 out of its into bank.
31	Paid rent to landlord 'Mohan' by a cheque of ₹ 220.
31	Interest allowed by bank ₹ 30.
31	Half yearly bank charges ₹ 50.

SOLUTION

[See Solution on page 9.10]

8.0 PETTY CASH BOOK

Meaning of Petty Cash Book

Petty Cash Book is the book which is used to record the payments of Petty Cash Expenses.

Meaning of Petty Cashier

Petty Cashier is the person who is authorised to make payments of Petty Cash Expenses and to record them in Petty Cash Book.

Features of Petty Cash Book

The main features of petty cash book are as follows:

1. The amount of cash received from the main cashier is recorded on the left hand side column.
2. The payments of petty cash expenses are recorded on the right hand side in the respective columns.
3. It can never show a credit balance because the cash payments can never exceed the cash receipts.
4. Its balance represents unspent petty cash in hand.
5. Recording is done on the basis of internal as well as external vouchers. Whenever external vouchers are not received, (e.g. in case of autorickshaw charges, coolie charges, postage stamps etc.), internal vouchers are prepared and got verified by an authorised person.
6. All the columns of expenses are totalled periodically and such periodic totals are individually posted to the debit side of the respective expenses accounts in the ledgers by writing 'To Sundries as per Petty Cash Book' in the particulars column.
7. Petty Cash Book is both a book of original entry as well as a book of final entry. In other words, it serves the purpose of both journal and ledger. It is a journal in the sense that all petty cash payments are recorded in it for the first time from the source documents. It is a ledger in the sense that it serves the purpose of 'Petty Cash Account' in which cash receipts from main cashier are recorded on the debit side and cash payments are recorded on the credit side. Hence, there is no need to open Petty Cash Account in the ledger.

Solution to Illustration 4:

THREE COLUMN CASH BOOK OF M/S TULSIAN & CO.

Dr. *Cr.*

Date	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Bank* ₹	*Date*	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Bank* ₹
2013						2013					
						Jan. 1	By Balance b/d				20,000
Jan. 1	To Balance b/d			50,000		Jan. 2	By Bank A/c	C		10,000	
2	" Cash	C			10,000	3	" Purchases A/c			200	
5	" Sales			1,175		4	" Purchases A/c		20		1,980
7	" Cheque-on-hand				700	8	" Typewriter			200	
10	" Hari			25			" Typewriter			50	
11	" Shyam				820	9	" Shyam		100		700
							" Bank charges				10
12	" Bank	C		10,000		12	" Cash	C			10,000
18	" B/E		10		990	20	" B/P				5,000
28	" Commission				500	22	" Drawings			1,000	
29	" Ramesh			250		24	" Trade expenses			2,000	
30	" Loans			5,000		25	" Drawings				1,500
	" Cash	C			3,000	26	" Machinery				5,000
31	" Interest				30		" Draft Commission				5
31	" Balance c/d				30,000	27	" Furniture				1,575
	(Bank overdraft)					30	" Bank	C		3,000	
						31	" Rent				220
							" Bank charges				50
							" Balance c/d			50,000	
			10	66,450	46,040				120	66,450	46,040
2013						2013					
Feb. 1	To Balance b/d			50,000		Feb. 1	By Balance b/d				30,000

Similarities between Main Cash Book and Petty Cash Book

1. Both are books of original entry. In other words, both serve the purpose of journal. Both are journal in the sense that the transactions are recorded in it for the first time from the source documents.
2. Both are books of final entry. In other words, both serve the purpose of ledger. Both are ledger in the sense that main cash book serves the purpose of 'Main Cash Account' and 'Bank Account' (only in case of three column cash book) and Petty Cash Book serves the purpose of 'Petty Cash Account'.

Differences between Main Cash Book and Petty Cash Book

1. In the Main Cash Book **all Cash Receipts** are recorded whereas in the Petty Cash Book only **Cash Receipts from Main Cashier** are recorded.
2. In the Main Cash Book **all Cash Payments except payments of Petty Cash Expenses**, are recorded whereas in the Petty Cash Book **only Payments of Petty Cash Expenses** are recorded.

Imprest vs. Non-Imprest System of Petty Cash Book

(a) **Meaning of Imprest or Float —** The amount which the main cashier hands over to the petty cashier in order to meet the petty cash expenses of a given period is known as 'Imprest' or 'Float'.

(b) Petty Cash book may be maintained on Imprest System *or* Non-imprest System.

(i) **Imprest System of Petty Cash —** Under Imprest System, the Chief Cashier makes the reimbursement of the amount spent by the petty cashier and the Petty Cashier again has the same amount of petty cash at the end as in the beginning.

(ii) **Non-Imprest System of Petty Cash —** Under Non-Imprest System, the Chief Cashier may hand over the cash to the Petty Cashier equal to/ more than/less than the amount spent by the petty cashier. The Petty cashier may or may not have the same closing balance of petty cash as opening balance.

(c) Imprest System of Petty Cash — The features of Imprest System of Petty Cash are as follows:

1. **Estimation by Chief Cashier —** The Chief Cashier **estimates** the total petty cash expenses for a particular fixed period.
2. **Advances by Chief Cashier —** The Chief Cashier **advances** the estimated amount to the petty cashier in the beginning of the period.
3. **Submission of Petty Cash Book by Petty Cashier —** The Petty Cashier **submits** the petty cash book alongwith supporting vouchers to the chief cashier at the end of the period.
4. **Examination of Petty Cash Book by Chief Cashier —** The Chief Cashier **examines** the petty cash book.
5. **Reimbursement of Amount Spent —** The Chief Cashier **makes the reimbursement** of the amount spent by the Petty Cashier.

6. **Availability of Same Amount of Petty Cash —** The Petty Cashier **again** has the **same amount** of petty cash in the beginning of new period.

(d) Advantages of Imprest System of Petty Cash

1. **Control over Mistakes**	The choices of mistakes are reduced since the chief cashier regularly examines the petty cash book.
2. **Control over Petty Expenses**	Petty expenses are kept within the limits imprest since the petty cashier can never of spend more than the available petty cash.
3. **Control over Fraud**	Misappropriation if any, is always kept within the limits of imprest.

Format of Petty Cash Book

The format of Petty Cash Book may be designed according to the requirements of the business. However, the simplest form is given below:

PETTY CASH BOOK

Receipts				*Payments*									
Date	*Particulars*	*Cash Book Folio*	*Total* ₹	*Date*	*Particulars*	*Voucher No.* ₹	*Postage Telegram* ₹	*Conveyance Travelling* ₹	*Staff Welfare Entertainment* ₹	*Cartage* ₹	*Printing & Stationery* ₹	*Misc. Items* ₹	*Total*

Advantages of Petty Cash Book

1. **Saving of Chief Cashier's Time —** The time of chief cashier is saved when petty expenses are recorded in petty cash book.
2. **Saving of Labour in Posting —** There is saving in labour in posting because of the following two reasons:

(a) limited number of accounts are opened for heads of petty expenses only,

(b) periodical totals (say monthly) of each column of expenses are posted to the debit of the respective ledger accounts.

3. **Control over Mistakes —** The chances of mistakes are reduced since the chief cashier regularly examines the petty cash book.
4. **Control over Petty Expenses —** Petty expenses are kept within the limits of imprest since the petty cashier can never spend more than the available petty cash.
5. **Control over Fraud —** Misappropriation if any, is always kept within the limits of imprest.
6. **Benefits of Specialisation —** The benefits of specialisation are available since recording of cash transactions is divided between main cash book and petty cash book.

Posting from Petty Cash Book

All the heads of expenses (including miscellaneous) are totalled periodically (usually monthly) and such periodic totals are individually posted to the debit side of the concerned ledger accounts in the ledger by writing 'To Sundries as per Petty Cash Book' in the particulars column. The ledger folio number is written under every total amount of expense to indicate that the entry has been posted in the ledger. In the folio column of the ledger account, the page number of the petty cash book is written.

ILLUSTRATION 5

Insert the following transactions in Tabular Petty Cash Book. On 1st Feb. 2013 ₹ 4,000 were given to Petty Cash Clerk.

Date	*Particulars*	₹
2013		
Feb. 1	Chowkidar Wages	1,500
2	Pencils	525
8	Railways freight on account of books	231
12	Postage Stamps	125
14	Telegrams	244
15	Sundry Expenses	056

SOLUTION

PETTY CASH BOOK

Cash Receipts ₹	*Date*	*Particulars*	*V. No*	*Total Amount paid* ₹	*Printing & Stationery* ₹	*Wages* ₹	*Postage & Stamps* ₹	*Carriage* ₹	*Misc. Exp.* ₹
	2013								
4,000	Feb. 1	To Cash							
	1	By Chowkidar Wages	1	1,500		1,500			
	2	By Pencils	2	525	525				
	8	By Railway freight	3	231				231	

	12	By Postage & Stamps	4	125			125		
	14	By Telegram	5	244			244		
	15	By Sundry Expenses	6	56					56
		Total Payment		2,681	525	1,500	369	231	56
	28	By Balance c/d		1,319					
4,000		Grand Total		4,000					
	March								
1,319	1	To Balance b/d							
2,681	1	To Cash							

THEORETICAL QUESTIONS

1. Why is a Journal sub-divided?
2. How is a Journal sub-divided?
3. What is a Special Journal?
4. List any four Special Journals.
5. State any two advantages of using Special Journals.
6. What is a Cash Book?
7. Explain that the Cash book is a journal as well as a ledger account.
8. List the various types of Cash Books.
9. What is a Single Column Cash Book?
10. Can there be a credit balance in a Simple Cash Book? State with reason.
11. Name the account which is not opened in the ledger in the case of a Single Column Cash Book.
12. What is a Cash Book with Discount Column?
13. Can there be a credit balance in a Cash Book with Discount Column? State with reason.
14. Name the account which is not opened in the ledger in the case of a Cash Book with Discount Column.
15. What is a Three Column Cash Book?
16. Can there be a Credit Balance in a Three Column Cash Book? State with reason.
17. Name the accounts which are not opened in the ledger in the case of a Three Column Cash Book.
18. If the total of Bank Column on credit side exceeds the total of Bank Column on debit side, what does it indicate?
19. Which discount is recorded in the discount column of a Cash Book?
20. Which discount is recorded on the debit side of a Cash Book?
21. Which discount is recorded on the credit side of a Cash Book?
22. Can the total of Discount Allowed Column exceed the total of Discount Received Column?
23. Are the discount Columns of Cash Book balanced?

24. How are the discount columns of a Cash Book posted in the ledger?

25. What is a Contra Entry?

26. Give two examples of Contra Entry.

27. How is Contra Entry distinguished from other entries?

28. What is a Petty Cash Book?

29. Who is Petty Cashier?

30. Explain the meaning of Imprest System of Petty Cash.

31. Explain the method of posting the Petty Cash Book.

32. State the name and side of the account to which Total of Discount Column on the credit side of the Cash Book would be posted.

33. State the name and side of the account to which Cash received from a Customer for goods sold on credit would be posted.

34. State the name and side of the account to which Cash paid to a Supplier for goods bought on credit would be posted.

35. State the name and side of the account to which Cash paid for purchase of furniture would be posted.

36. State the name and side of the account to which Cash received for sale of old furniture would be posted.

37. State the name and side of the account to which a Sale to Ram for Cash would be posted.

38. State the name and side of the account to which a Purchase from Shyam for Cash would be posted.

PRACTICAL QUESTIONS

1. Enter the following transactions in Single Column Cash Book:

Date	*Particulars*	₹
2013		
Jan. 1	Cash in hand	3,400
5	Paid to R. Bansal	600
	Discount allowed by him	20
8	Purchased goods from Goyal & Co. for Cash	800
10	Received from R. Kansal	1,960
	Discount allowed	40
16	Sold goods to Garg & Co. for Cash	800
21	Paid to S. Ansel	590
	Discount received	10
25	Paid wages	100
31	Paid to X & Co. in full settlement of his account	
	which shows a credit balance of ₹ 800	780
31	Purchased furniture	400

[**Ans.** Cash Balance ₹ 2,890]

3. Prepare a Two Column Cash Book from the following transactions of Shri R. K. Gupta:

Date	*Particulars*	₹
2013		
Jan. 1	Cash in hand	8,000
6	Cash Purchases	4,000
10	Wages paid	80
11	Cash Sales	12,000
12	Cash received from Suresh and	3,960
	allowed him discount	40
19	Cash paid to Munna	4,940
	and discount received	60
27	Cash paid to Radhey	800
128	Purchased goods for cash	4,140

[**Ans.** Cash Balance ₹ 10,000]

4. Prepare a Three Column Cash Book of M/s Tulsian & Co. from the following particulars.

2013	
Jan. 1	Cash in hand ₹ 1,00,000, Bank Overdraft ₹ 40,000
2	Paid into bank ₹ 20,000.
3	Bought goods from Hari for ₹ 400 for cash.
4	Bought goods for ₹ 4,000 paid cheque for them, discount allowed 1%.
5	Sold goods to Mohan for cash ₹ 2,350.
6	Received a Crossed cheque from Shyam to whom goods were sold for ₹ 1,600. Discount allowed 12.5%.
7	Shyam's cheque deposited into bank.

8	Purchased an old typewriter for ₹ 400. Spent ₹ 100 on its repairs.
9	Bank notified that Shyam's cheque has been returned dishonoured and debited the account in respect of charges ₹ 20.
10	Received a money order for ₹ 50 from Hari.
11	Shyam settled his account by means of a Crossed Cheque for ₹ 1,640, ₹ 40 being for interest charged.
12	Withdrew from bank ₹ 20,000.
18	Discounted a B/E for ₹ 2,000 at 1% through bank.
20	Honoured our own acceptance by cheque ₹ 10,000.
22	Withdrew for personal use ₹ 2,000.
24	Paid trade expenses ₹ 4,000.
25	Withdrew from bank for private expenses ₹ 3,000.
26	Purchased machinery from Rajiv for ₹ 10,000 and paid him by means of a bank draft purchased for ₹ 10,010.
27	Issued cheque to Ram Saran for cash purchase of furniture ₹ 3,150.
28	Received a Crossed Cheque for commission ₹ 1,000 from R. & Co. and deposited into bank.
29	Ramesh who owed us ₹ 1,000 became bankrupt and paid us 50 paise in the rupee.
30	Received payment of a loan of ₹ 10,000 and deposited ₹ 6,000 out of its into bank.
31	Paid rent to landlord 'Mohan' by a cheque of ₹ 440.
31	Interest allowed by bank ₹ 60.
31	Half yearly bank charges ₹ 100.

[**Ans.** Cash Balance ₹ 1,00,000, Bank Overdraft ₹ 60,000]

5. Insert the following transactions in Tabular Petty Cash Book. On 1st Feb. 2013 ₹ 240 were given to Petty Cash Clerk.

Date	*Particulars*	*₹*
Feb. 1	Chowkidar Wages	90.00
2	Pencils	31.50
8	Railways freight on account of books	13.86
12	Postage Stamps	7.50
10	Telegrams	14.64
15	Sundry Expenses	3.36